**IN THE NATIONAL COMPANY LAW TRIBUNAL,**
**ALLAHABAD BENCH, ALLAHABAD**

Company Application No. CA (CAA) No. 19/ALD of 2021
*(Under Section 230 & 232 of the Companies Act, 2013)*

In the Matter of:

1. **Maharaja Buildcon Pvt Ltd**, a private limited company incorporated under the Companies Act, 1956 and having its registered office at Office No. 5, Ground Floor, Krishan Apra Park, Plot No. 3, Alfa-2, Block-F, Greater Noida-201301, Uttar Pradesh

**….. Applicant Company No. 1/Transferor Company No. 1**

2. **N.P.S. Constructions Pvt Ltd**, a private limited company incorporated under the Companies Act, 1956 and having its registered office at Office No. 6, Ground Floor, Krishan Apra Park, Plot No. 3, Alfa-2, Block-F, Greater Noida-201301, Uttar Pradesh

**….. Applicant Company No. 2/Transferor Company No. 2**

3. **Penguin Infrabuild Pvt Ltd**, a private limited company incorporated under the Companies Act, 1956 and having its registered office at Office No. 602, 6th Foor, Krishna Apra Plaza, P-3, Sector-18, Noida-201 301, Uttar Pradesh

**….. Applicant Company No. 3/Transferor Company No. 3**

AND

4. **Strategic Developers Pvt Ltd**, a private limited company incorporated under the Companies Act, 1956 and having its registered 127, Block-B, Sector-63, Noida-201 301, Uttar Pradesh

**…..Applicant Company No. 4/Transferee Company**

**ORDER DELIVERED ON: 26.08.2021**

**CORAM:**
**Hon'ble Mr. Justice (Retd.) Rajesh Dayal Khare, Member, Judicial**



**For the Applicant Companies: Sh. Rajeev Kr. Goel, Adv Alongwith Sh. Ankit Singh, PCS**

**Per se: Mr. Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)**

**ORDER**

1. This 1st motion Application under Sections 230 & 232 of the companies Act, 2013 (herein after referred to as the "Act") read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (herein after referred to as "the Rules") is filed by the Applicants Numbers 1 to 4 Companies seeking directions of this Tribunal to dispense with the requirement of convening meetings of Shareholders, Secured Creditors and Un-secured Creditors of the Transferor Companies No. 1 to 3 and the Transferee Company. The Applicant No. 1 to 3 Companies are the Transferor Companies No. 1 to 3, whereas the Applicant No. 4 is the Transferee Company as stated in the proposed Scheme of Amalgamation and in the Application.

2. In the Application, it is stated that the Transferor Company No. 1 is a private limited company registered under the provisions of the Companies Act, 1956. The Authorised Share Capital of the Transferor Company No. 1 ₹10,00,000 divided into 1,00,000 Equity Shares of ₹10 each. The present Issued, Subscribed and Paid-up Share Capital of the Company is ₹9,50,000 divided into 95,000 Equity Shares of ₹10 each.

   The Main Objects of the Transferor Company No. 1 are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Annexure A-1/1 and are placed at page nos. 64 to 90.***

3. In the Application, it is stated that the Transferor Company No. 2 is a private limited company registered under the provisions of the Companies Act, 1956. The Authorised Share Capital of the Transferor Company No. 2 ₹10,00,000 divided into 1,00,000 Equity Shares of ₹10 each. The present Issued, Subscribed and Paid-up Share Capital of the Company is ₹9,50,000 divided into 95,000 Equity Shares of ₹10 each.



The Main Objects of the Transferor Company No. 2 are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Annexure A-2/1 and are placed at page nos. 125 to 146.***

4. In the Application, it is stated that the Transferor Company No. 3 is a private limited company registered under the provisions of the Companies Act, 1956. The Authorised Share Capital of the Transferor Company No. 3 ₹10,00,000 divided into 1,00,000 Equity Shares of ₹10 each. The present Issued, Subscribed and Paid-up Share Capital of the Company is ₹9,50,000 divided into 95,000 Equity Shares of ₹10 each.

   The Main Objects of the Transferor Company No. 3 are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Annexure A-3/1 and are placed at page nos. 181 to 202.***

5. In the Application, it is stated that the Transferee Company is a private limited company registered under the provisions of the Companies Act, 1956. The Authorised Share Capital of the Transferee Company is ₹15,00,00,000 divided into 1,50,00,000 Equity Shares of ₹10 each. The present Issued, Subscribed and Paid-up Share Capital of the Company is ₹13,50,00,000 divided into 1,35,00,000 Equity Shares of ₹10 each.

   The Main Objects of the Transferee Company are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Annexure A-4/1 and are placed at page nos. 238 to 263.***

6. The material placed on record discloses that the Transferor Companies No. 1 to 3 and the Transferee Company are private limited closely held Group Companies under the common management and control.

7. The Board of Directors of all the Applicant Companies in the meetings held on 9th June, 2021, considered and unanimously approved the proposed Scheme of Amalgamation.



8. The Applicant Companies filed the Audited Financial Statements for the financial year ended 31st March, 2020. The Applicant Companies also filed the Un-audited Financial Statements (provisional) for the period ended 15th March, 2021.

9. The Board of Directors and management of the Transferor Companies No. 1 to 3 and the Transferee Company have proposed the Scheme of Amalgamation of Maharaja Buildcon Pvt Ltd, N.P.S. Constructions Pvt Ltd and Penguin Infrabuild Pvt Ltd with Strategic Developers Pvt Ltd, for the following reasons:

   a. *All the Transferor Companies and the Transferee Company are closely held private limited Group Companies under common management and control. The proposed amalgamation of the Transferor Companies with the Transferee Company would result in consolidation of various Group Companies and pooling of their resources into a single entity.*

   b. *The proposed Amalgamation would result in optimising and leveraging existing resources of these Companies for the most beneficial utilization of these factors in the combined entity. It would be advantageous to combine the activities and operations of all these Companies in a single entity and building strong capability to effectively meet future challenges in competitive business environment.*

   c. *The proposed Scheme of Amalgamation will result in usual economies of a centralized and a large company including elimination of duplicate work, reduction in overheads, better and more productive utilization of financial, human and other resource and enhancement of overall business efficiency. The proposed Scheme will enable these Companies to combine their managerial and operating strength, to build a wider capital and financial base and to promote and secure overall growth.*

   d. *The amalgamation will result in significant reduction in multiplicity of legal and regulatory compliances which at present is required to be made separately by the Transferor Companies and the Transferee Company.*



e. *The proposed amalgamation will provide greater efficiency in fund management and unfettered access to fund flow generated by the combined business which can be deployed more efficiently to fund organic and inorganic growth opportunities. The proposed amalgamation would enhance the shareholders' value of the Transferor and the Transferee Companies.*

f. *The proposed Scheme of Amalgamation will have beneficial impact on the Transferor and the Transferee Companies, their shareholders, employees and other stakeholders and all concerned.*

**10.** It is stated that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013, or under the provisions of the Companies Act, 1956 is pending against any of the Applicant Companies.

**11.** It is stated by the Applicant Companies that the proposed Scheme of Amalgamation does not envisage any buy back of shares.

**12.** The learned Counsel for the Applicant Companies filed details of Shareholders, Secured Creditors and Un-secured Creditors detailed below:

**The Transferor Company No. 1**

i. The Transferor Company No. 1 has 2 (two) **Equity Shareholders** and both have given their consents by way of deposing individual affidavits.

ii. The Transferor Company No. 1 has no **Secured Creditors.**

iii. The Transferor Company No. 1 has no **Un-secured Creditors**

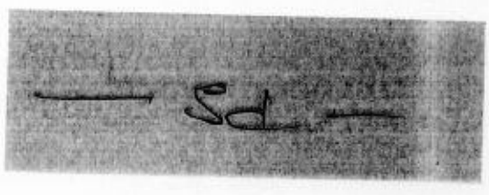
**The Transferor Company No. 2**

i. The Transferor Company No. 2 has **2 (two) Equity Shareholders** and both have given their consents by way of deposing individual affidavits.

ii. The Transferor Company No. 2 has no **Secured Creditors**.

iii. The Transferor Company No. 2 has no **Un-secured Creditors**

**The Transferor Company No. 3**



i. The Transferor Company No. 3 has 2 (two) **Equity Shareholders** and both have given their consents by way of deposing individual affidavits.

ii. The Transferor Company No. 3 has no **Secured Creditors**.

iii. The Transferor Company No. 3 has no **Un-secured Creditors**

**The Transferee Company**

i. The Transferee Company has 36 (thirty six) **Equity Shareholders** and all have given their consents by way of deposing individual affidavits.

ii. The Transferee Company has 4 (four) **Secured Creditors.**

iii. The Transferee Company has about 149 (one hundred and forty nine) **Un-secured Creditors**. Out of 149 Un-secured Creditors, 42 (forty two) Un-secured Creditors amounting to ₹35,27,16,475 and representing 92.74% of the total value, have given their consents by way of deposing individual affidavits.

**13.** The Applicants have stated that the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013. Certificates from the respective Statutory Auditors of all the Applicant Companies have been filed along with the Application.

**14.** Learned Counsel-Mr Rajeev K Goel, appearing for the Applicants, made the following contentions with respect to the dispensation of the requirement of convening meetings of the following persons:

A. All the Equity Shareholders of the Transferor Companies No. 1 to 3 and the Transferee Company have given their written consents by way of affidavits. Therefore, the requirement of convening meetings of the Equity Shareholders of the Transferor Companies No. 1 to 3 and the Transferee Company may be dispensed with.

B. There is no Secured Creditor in the Transferor Companies No. 1 to 3. Therefore, there is no need to convene meetings of the Secured Creditor of the Transferor Companies No. 1 to 3.

C. The Transferee Company has 4 (four) Secured Creditors. It is, submitted by the counsel of the Applicant Companies that under the Scheme of



Amalgamation, no compromise or arrangement is proposed with any of the Secured Creditors and Un-secured Creditors of the Applicant Transferee Company. Neither any liability of the Secured Creditors and Un-secured Creditors under the Scheme is being reduced or extinguished. None of the Transferor Companies has any Secured Creditor or Un-secured Creditor. All the Transferor Companies and the Transferee Company have strong Net Worth. Post amalgamation, Net Worth of the Transferee Company will be further strengthened. Rights of the Secured Creditors of the Applicant Transferee Company will not be adversely affected by the present Scheme of Amalgamation. Net worth Certificates of all the Transferor and Transferee Companies provided by the Chartered Accountants were also submitted along with the 1st motion Application. The learned counsel for the Applicant Companies further submitted that this Tribunal and other Benches of this Tribunal have dispensed with the requirement of convening meeting of the Secured Creditors in similar circumstances. Hence, convening of the meeting of the Secured Creditors of the Transferee Company under the supervision of this Tribunal is not required in the present case; and hence the same may be dispensed with.

D. There is no Un-secured Creditor in the Transferor Companies No. 1 to 3. Therefore, there is no need to convene meetings of the Un-secured Creditors of the Transferor Companies No. 1 to 3.

E. The Un-secured Creditors of the Transferee Company constituting 92.74% of the total value [which is more than the requisite statutory majority of 90% in value as per section 230(9) of the Companies Act, 2013], have given their written consents by way of affidavits. Therefore, the requirement of convening meeting of the Un-secured Creditors of the Transferee Company may be dispensed with.

**15.** This Tribunal directs that, in view of the consent affidavits given by the Equity Shareholders of the Transferor Companies No. 1 to 3 and the Transferee Company, the requirement of convening meetings of the Equity Shareholders of the Transferor Companies No. 1 to 3 and the Transferee Company, for the purpose of considering



and if thought fit approving the proposed Scheme of Amalgamation, is dispensed with.

**16.** As stated, there is no Secured and Un-secured Creditor in the Transferor Companies No. 1 to 3, accordingly, the requirement of convening the meetings of the Secured and Un-secured Creditors of the Transferor Companies No. 1 to 3, for the purpose of considering and if thought fit approving the proposed Scheme of Amalgamation, is dispensed with.

**17.** In view of the Net worth Certificates of all the Transferor and Transferee Companies provided by the Chartered Accountants; and the submissions made by the Counsel of the Applicant Companies, this bench is satisfied that the interest of the Secured Creditors of the Transferee Company will not be adversely affected by the proposed Scheme of Amalgamation.. This Tribunal, accordingly, directs that the requirement of convening the meeting of Secured Creditors of the Transferee Company for the purpose of considering and if thought fit approving the proposed Scheme of Amalgamation, is dispensed with.

**18.** This Tribunal directs that, in view of the consent affidavits given by the Un-secured Creditors of the Transferee Company, the requirement of convening the meeting of Un-secured Creditors of the Transferee Company for the purpose of considering and if thought fit approving the proposed Scheme of Amalgamation, is dispensed with.

**19.** With the above directions **CA (CAA) No. 19/ALD of 2021** is disposed of accordingly.



**JUSTICE RAJESH DAYAL KHARE**
**MEMBER (J)**

**Date: 26.08.2021**

Swati Gupta
(LRA)